Indian Tea Industry

Industry and Peer Comparison: Branded vs Plantation Models

INDUSTRY SNAPSHOT

India is the world's second-largest tea producer. The Tea Board reports output of about 1,370 million kg in 2025, roughly 5% above 2024, with North India (Assam and West Bengal) supplying about 83%. Around 80% of the crop is drunk at home, and exports hit a record of about 280 million kg in 2025.

TWO BUSINESS MODELS

Branded companies such as Tata Consumer blend, pack and sell tea under consumer brands. Plantation companies such as Goodricke and United Nilgiri grow and make tea and sell it through auctions, private sales and exports. This report asks which model earns better and steadier returns, using FY21 to FY26 financials for one company from each type, plus a second grower.

KEY FINDINGS

- **Growth:** Tata Consumer's sales grew 11.8% a year over five years. Goodricke's fell 2.1% a year and United Nilgiri's grew 4.7%.
- **Margins:** United Nilgiri has the highest EBITDA margin (23.8%) but is tiny. Tata Consumer earns 13.8% and Goodricke only 2.4%.
- **Capital use:** Goodricke turns its assets over 1.34x, against 0.59x for Tata Consumer and 0.33x for United Nilgiri, but thin margins give it a negative five-year average ROE (−2.3%).
- **Valuation:** The market pays about 62x earnings for Tata Consumer, 18x for Goodricke and 9x for United Nilgiri.

KEY RISKS

- Weather and crop losses, and volatile auction prices.
- Rising wage costs in North Bengal and Assam.
- Tata Consumer is not a tea-only business; United Nilgiri relies on investment income.

PEER SNAPSHOT

Company	Mkt cap (₹ Cr)	P/E	ROE
Tata Consumer	95,397	61.9x	7.1%
Goodricke	454	17.8x	8.4%
United Nilgiri	204	9.3x	9.1%

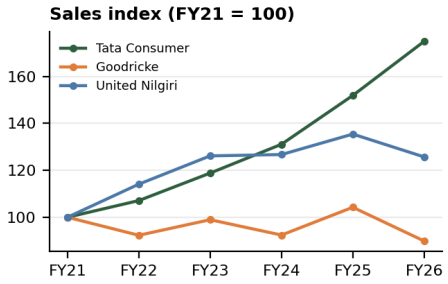
FY26 figures. Market cap from Screener exports, Oct 2026.

KEY METRICS (FY26)

Metric	TCPL	GDRK	UNTE
Sales CAGR	11.8%	-2.1%	4.7%
EBITDA %	13.8%	2.4%	23.8%
Net margin	7.6%	3.2%	26.3%
Asset turn.	0.59x	1.34x	0.33x

TCPL = Tata Consumer, GDRK = Goodricke, UNTE = United Nilgiri.

SALES INDEX (FY21 = 100)



INDUSTRY OVERVIEW

Size and structure

India produced about 1,370 million kg of tea in 2025 against about 1,304 million kg in 2024. West Bengal alone contributed about 411 million kg. Consumption is mostly domestic and per-head use is still low at roughly 840 g a year, which leaves room for volume growth. Exports reached about 280 million kg in 2025, helped by demand from Iran, Iraq and China.

Tailwinds

- **Prices:** All-India auction prices rose about 21% to ₹201.84 per kg in 2024-25, which helps growers.
- **Value capture:** One market study estimates retail-equivalent tea prices far above auction prices, because blending, packaging and distribution add value. This favours branded players.
- **Exports:** Record export volumes in 2025 add a second demand source.

Headwinds

- **Weather:** Extreme heat followed by Assam floods in 2024 cut output sharply for some months.
- **Costs:** Wage hikes in West Bengal (June 2023) and Assam (October 2023) raised plantation costs, according to ICRA.
- **Domestic demand:** The same study estimates that domestic retention fell 4.4% in 2024-25.

COMPANY PROFILES

1. Tata Consumer Products (branded and packaged)

India's market leader in packaged tea, selling brands such as Tata Tea and Tetley. It also sells coffee, salt and other foods, so its financials are not tea-only. FY26 sales were ₹20,290 Cr, growing 15.2% on the year, and EBITDA margin has stayed between 13% and 15% for six years.

2. Goodricke Group (plantation)

The second-largest tea producer in India, with Camellia Plc of the UK as its parent. It runs 18 estates, mostly in the Dooars and Darjeeling in West Bengal plus Assam, and sells through auctions, private sales and exports. FY26 sales were ₹801 Cr, down 13.8%, and it posted a loss in FY24.

3. United Nilgiri Tea Estates (plantation)

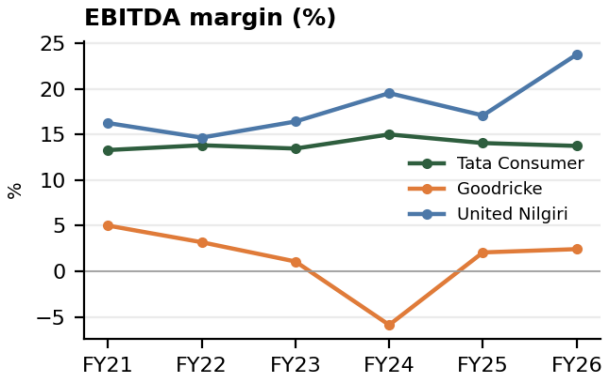
Founded in 1922, it grows tea on four estates in the Nilgiris of Tamil Nadu (about 1,495 hectares) and also lets out property. It earns most of its revenue outside India. FY26 sales were ₹83 Cr, and about ₹169 Cr of its ₹256 Cr assets are investments. Screener shows no borrowings for it.

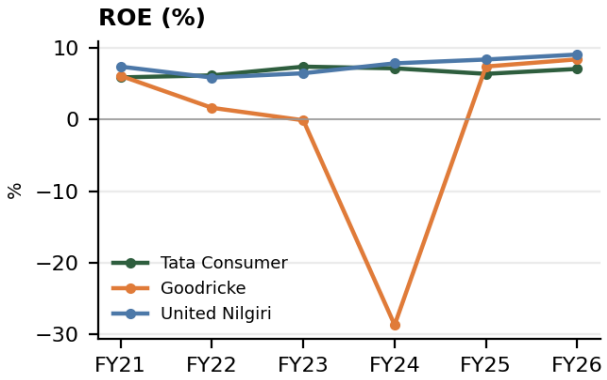
PEER COMPARISON

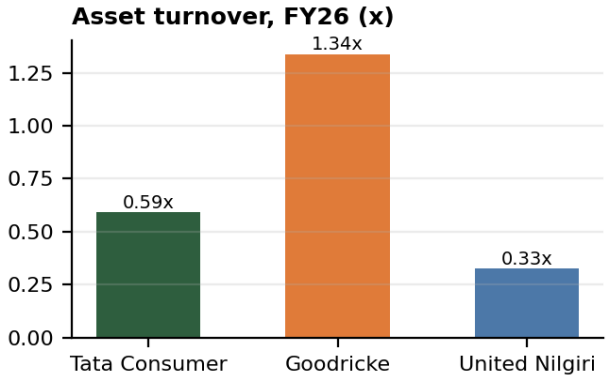
All figures are from Screener Data Sheet exports for FY21 to FY26 (years end 31 March), in ₹ crore. Five-year averages cover FY22 to FY26. The formulas are in the accompanying Excel workbook.

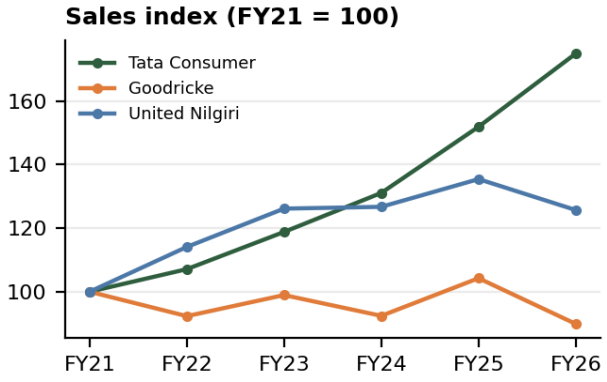
Metric	Tata Consumer	Goodricke	United Nilgiri	What it shows
Sales CAGR (5 yrs)	11.8%	-2.1%	4.7%	Only Tata Consumer is growing strongly.
EBITDA margin FY26	13.8%	2.4%	23.8%	United Nilgiri's plantation is highly profitable; Goodricke's barely is.
EBITDA margin 5-yr avg	14.0%	0.6%	18.3%	Goodricke's loss year (FY24: -5.9%) drags its average down.
Net margin FY26	7.6%	3.2%	26.3%	United Nilgiri's net margin exceeds EBITDA margin because of other income.
ROE FY26	7.1%	8.4%	9.1%	Similar on the surface; the sources of return differ.
ROE 5-yr avg	6.8%	-2.3%	7.5%	Tata Consumer and United Nilgiri are the more consistent.
Asset turnover FY26	0.59x	1.34x	0.33x	Goodricke works its assets hardest; United Nilgiri holds many investments.
Debt / equity FY26	0.13x	0.06x	None	Borrowings are small relative to equity for all three.
P/E	61.9x	17.8x	9.3x	The market pays a large premium for Tata Consumer's brand and growth.

Source: Screener.in exports; workbook "Tea Peer Comparison Analysis". P/E = market cap divided by FY26 net profit.









KEY TAKEAWAYS

Who is growing and innovating faster?

Tata Consumer. Its sales grew 11.8% a year and it spreads its risk across tea, coffee and foods. Innovation is not measured directly here, so sales growth and diversification are used as proxies.

Who uses capital more efficiently?

It depends on the source of return. In FY26 the three ROEs are close (7.1%, 8.4%, 9.1%), but they are built differently. Goodricke has a high asset turnover (1.34x) with thin margins; United Nilgiri has high margins with very low turnover because most assets are investments; Tata Consumer sits in between with large acquired assets. On five-year averages, Tata Consumer (6.8%) and United Nilgiri (7.5%) are more consistent than Goodricke (−2.3%).

Who has the stronger brand?

Tata Consumer. Its EBITDA margin moved only between 13.3% and 15.0% across six years, suggesting pricing power, and the market values it at about 62x earnings. Plantation margins depend on auction prices.

Which business model is more resilient?

Branded tea looked more stable in this data. Goodricke's FY24 loss (EBITDA margin -5.9%, ROE -28.7%) shows how crop losses, weak realisations and wage hikes can hit a grower, as ICRA noted for that year. United Nilgiri was resilient, but partly because investment and property income cushion its tea business.

RISKS AND LIMITATIONS

- The companies differ hugely in size (Tata Consumer ₹20,290 Cr of sales versus United Nilgiri ₹83 Cr), so comparisons are directional.
- Tata Consumer's figures include coffee and foods, so they are not tea-only.
- Net profit includes other income and one-off items. ROE and asset turnover use year-end balances.
- Plantation-specific measures (production volume, realisation per kg, cost per kg) are not included yet and should come from annual reports.
- Market caps move daily. This is an educational analysis, not investment advice.

CONCLUSION

Tata Consumer is the only company with strong, steady growth and stable margins, and investors pay a high price for that. The plantation companies earn very different results: Goodricke has volume and assets but thin, volatile margins, while United Nilgiri is highly profitable but small and partly an investment holder. For an investor in tea, the branded model offers steadier returns, while growers are a bet on prices and weather.

SOURCES

- Screener.in company pages and Data Sheet exports for Tata Consumer, Goodricke and United Nilgiri (Oct 2026).
- Tea Board of India production and export data, as reported by ETV Bharat, Business Standard and Outlook Business (2025-26).
- ICRA rating rationale for Goodricke Group; Goodricke and Camellia company websites.
- Ken Research, India domestic tea consumption market (July 2026); Morningstar company profile for United Nilgiri.